Accounting Principles

Thirteenth Edition

Weygandt Kimmel Kieso

Chapter 3

Adjusting the Accounts

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Chapter Outline

Learning Objectives

LO 1 Explain the accrual basis of accounting and the reasons for adjusting entries.

LO 2 Prepare adjusting entries for deferrals.

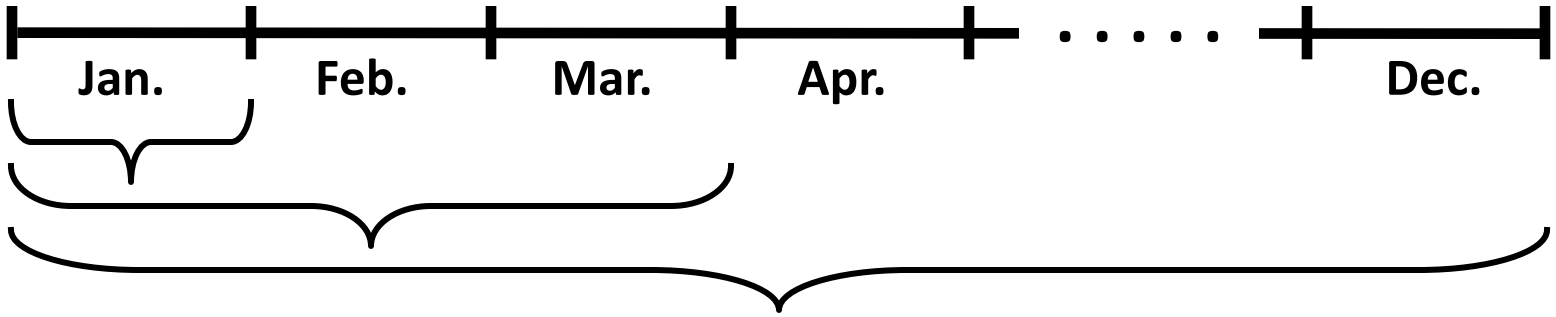
LO 3 Prepare adjusting entries for accruals.

LO 4 Describe the nature and purpose of an adjusted trial balance.

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Accrual-Basis and Adjusting Entries

Accountants divide the economic life of a business into artificial time periods (**Time Period Assumption**).



Generally a

- **month**,
- **quarter**, or
- **year**.

ALTERNATIVE TERMINOLOGY
The time period assumption is also called the *periodicity assumption*.

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Fiscal and Calendar Years

- Monthly and quarterly time periods are called **interim periods**
- Most large companies must prepare both **quarterly** and **annual** financial statements
- **Fiscal Year** = Accounting time period that is **one year** in length
- **Calendar Year** = January 1 to December 31

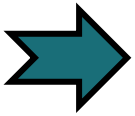
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Fiscal and Calendar Years

The time period assumption states that:

a. companies must wait until the calendar year is completed to prepare financial statements.

b. companies use the fiscal year to report financial information.



c. the economic life of a business can be divided into artificial time periods.

d. companies record information in the time period in which the events occur.

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Accrual- versus Cash-Basis Accounting

Accrual-Basis Accounting

- Transactions recorded in the **periods in which the events occur**
- Companies **recognize revenues when they perform services** (rather than when they receive cash)
- **Expenses** are recognized when **incurred** (rather than when paid)
- In accordance with **generally accepted accounting principles (GAAP)**

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Accrual- versus Cash-Basis Accounting

Cash-Basis Accounting

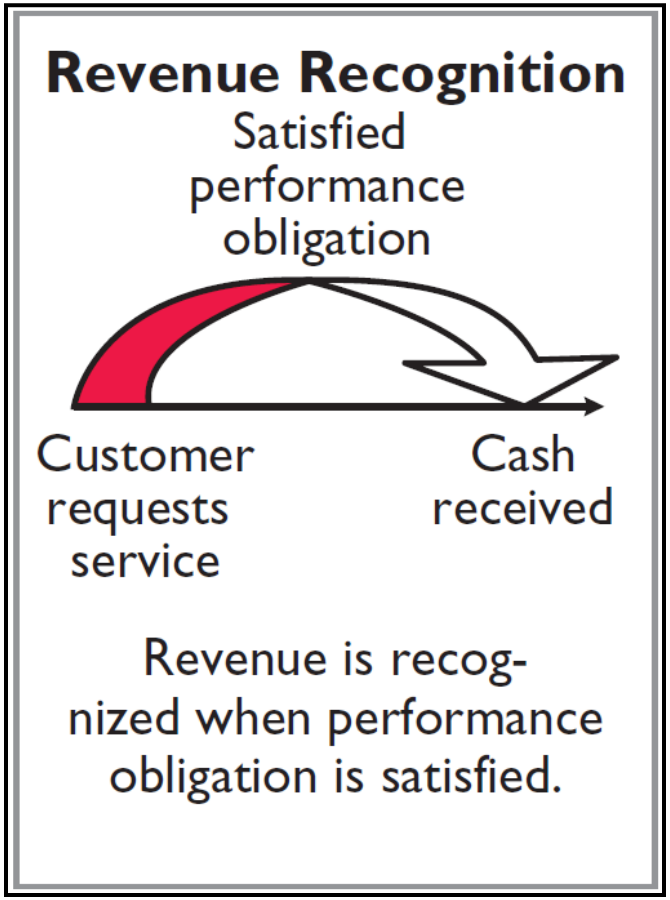
- **Revenues** recognized when **cash is received**
- **Expenses** recognized when **cash is paid**
- Cash-basis accounting is **not in accordance with generally accepted accounting principles (GAAP)**

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Recognizing Revenues and Expenses

Revenue Recognition Principle

Recognize revenue in the accounting period in which the **performance obligation** is satisfied.



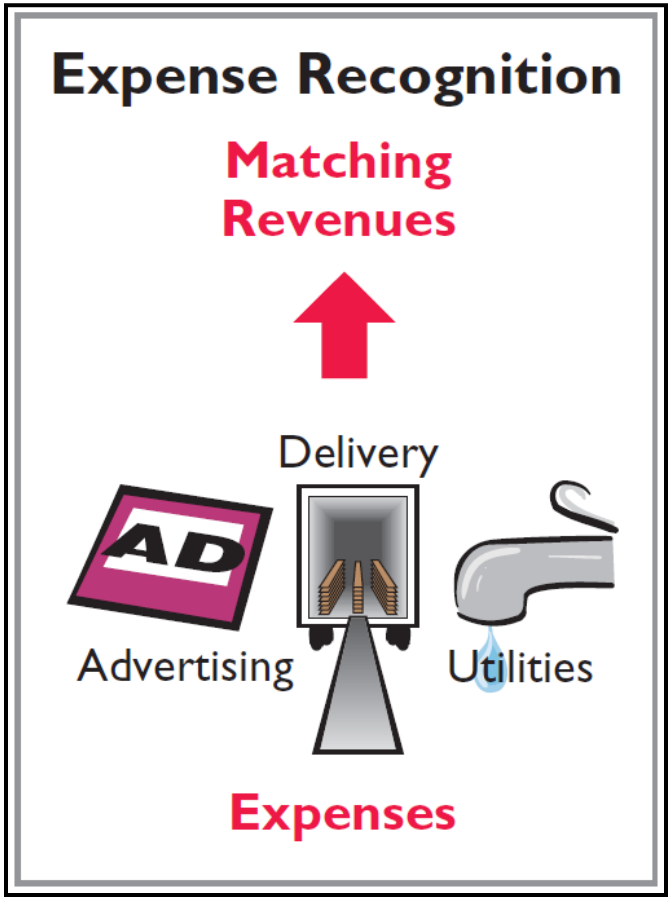
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Recognizing Revenues and Expenses

Expense Recognition Principle

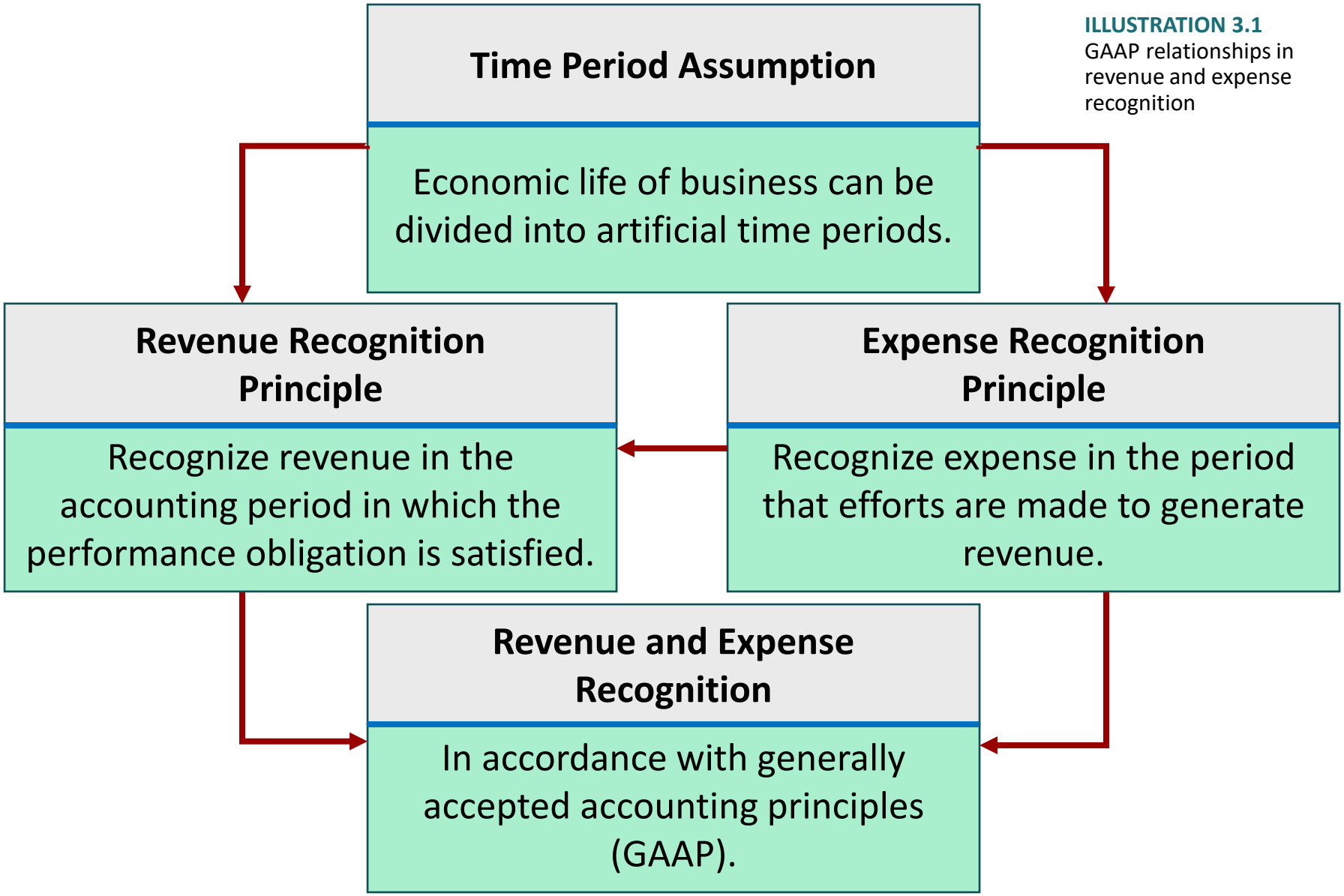
Companies recognize expenses in the period in which they make efforts (consume assets or incur liabilities) to generate revenue.

"Let the expenses follow the revenues."



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ILLUSTRATION 3.1
GAAP relationships in revenue and expense recognition



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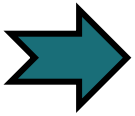
Fiscal and Calendar Years

Which of the following statements about the accrual basis of accounting is false?

a. Events that change a company's financial statements are recorded in the periods in which the events occur.

b. Revenue is recognized in the period in which services are performed.

c. This basis is in accordance with generally accepted accounting principles.



d. Revenue is recorded only when cash is received, and expense is recorded only when cash is paid.

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The Need for Adjusting Entries

Adjusting Entries

- Ensure that the **revenue recognition** and **expense recognition** principles are followed.
- Necessary because the **trial balance may not contain up-to-date** and complete data.
- **Required** every time a company prepares financial statements.
- Will include **one income statement account and one balance sheet account**.

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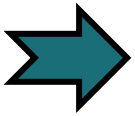
The Need for Adjusting Entries

Adjusting entries are made to ensure that:

a. expenses are recognized in the period in which they are incurred.

b. revenues are recorded in the period in which services are performed.

c. balance sheet and income statement accounts have correct balances at the end of an accounting period.



d. All the responses above are correct.

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Types of Adjusting Entries

Deferrals	Accruals
1. **Prepaid Expenses.** Expenses paid in cash before they are used or consumed.	1. **Accrued Revenues.** Revenues for services performed but not yet received in cash or recorded.
2. **Unearned Revenues.** Cash received before services are performed.	2. **Accrued Expenses.** Expenses incurred but not yet paid in cash or recorded.

ILLUSTRATION 3.2
Categories of adjusting entries

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DO IT! 1 | Timing Concepts

Below is a list of timing concepts in the left column, with a description of the concept in the right column. There are more descriptions provided than concepts. Match the description to the concept

1. ___f___ Accrual-basis accounting.
2. ___e___ Calendar year.
3. ___c___ Time period assumption.
4. ___b___ Expense recognition principle.

(a) Monthly and quarterly time periods.

(b) Efforts (expenses) should be recognized in the period in which a company uses assets or incurs liabilities to generate results (revenues).

(c) Accountants divide the economic life of a business into artificial time periods.

(d) Companies record revenues when they receive cash and record expenses when they pay out cash.

(e) An accounting time period that starts on January 1 and ends on December 31.

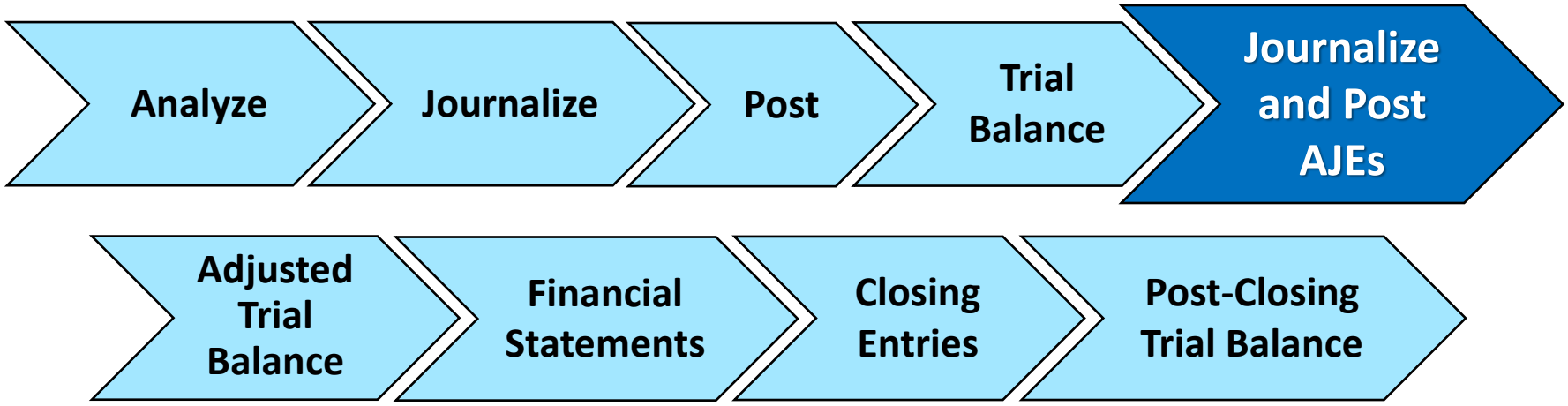
(f) Companies record transactions in the period in which the events occur.

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Adjusting Entries for Deferrals

Deferrals are **expenses or revenues** that are recognized at a date later than the point when cash was originally exchanged. There are **two types**:

- **Prepaid expenses**
- **Unearned revenues**



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Prepaid Expenses

Payments of expenses that are recorded as an asset to show the service or benefit the company will receive in the future.

Cash Payment **BEFORE** **Expense Recorded**

Prepayments often occur in regard to:

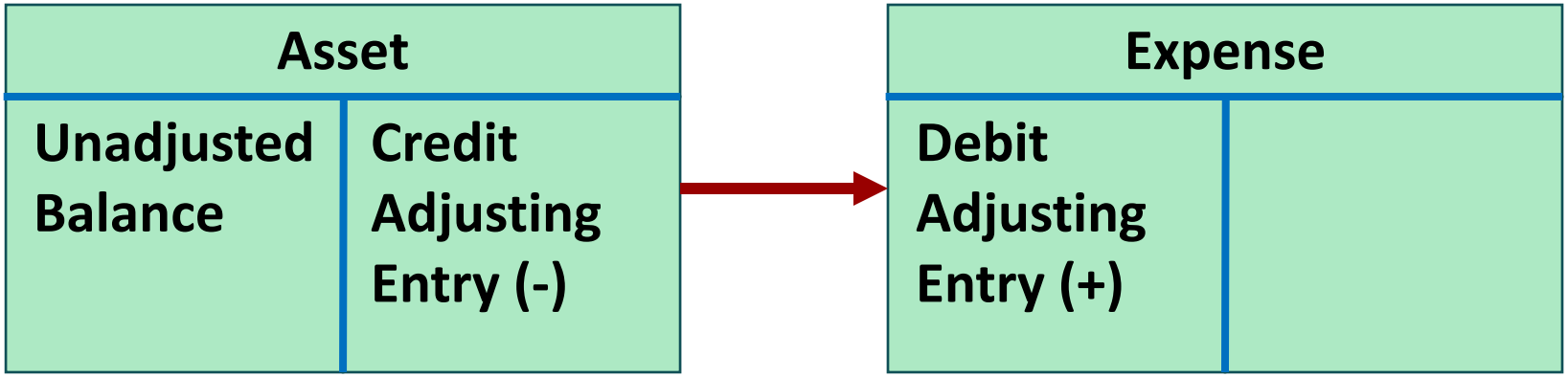
- insurance
- supplies
- advertising
- rent
- equipment
- buildings

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Prepaid Expenses

- Expire either with the passage of time or through use
- Adjusting entry:
  - **Increase** (debit) to an **expense account** and
  - **Decrease** (credit) to an **asset account**

ILLUSTRATION 3.4



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Pioneer Advertising
Trial Balance
October 31, 2020

	Debit	Credit
Cash	$15,200	
Supplies	2,500	
Prepaid Insurance	600	
Equipment	5,000	
Notes Payable		$ 5,000
Accounts Payable		2,500
Unearned Revenue		1,200
Owner's Capital		10,000
Owner's Drawings	500	
Service Revenue		10,000
Salaries and Wages Expense	4,000	
Rent Expense	900	
	$28,700	**$28,700**

Subsequent examples are based on the October 31 trial balance from Chapter 2.

ILLUSTRATION 2.31

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Supplies

Illustration: Pioneer Advertising purchased supplies costing $2,500 on October 5. Pioneer recorded the payment by increasing (debiting) the asset Supplies. This account shows a balance of $2,500 in the October 31 trial balance. An inventory count at the close of business on October 31 reveals that $1,000 of supplies are still on hand.



Oct. 31	Supplies Expense	1,500	
	Supplies		1,500

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Supplies

ILLUSTRATION 3.5
Adjustment for supplies

Basic Analysis

The expense Supplies Expense is increased $1,500, and the asset Supplies is decreased $1,500.

Equation Analysis

	Assets	=	Liabilities	+	Owner's Equity
(1)	Supplies	=			Supplies Expense
	–$1,500				–$1,500

Debit–Credit Analysis

Debits increase expenses: debit Supplies Expense $1,500.
Credits decrease assets: credit Supplies $1,500.

Journal Entry

Oct. 31	Supplies Expense	1,500	
	Supplies		1,500
	(To record supplies used)		

Posting

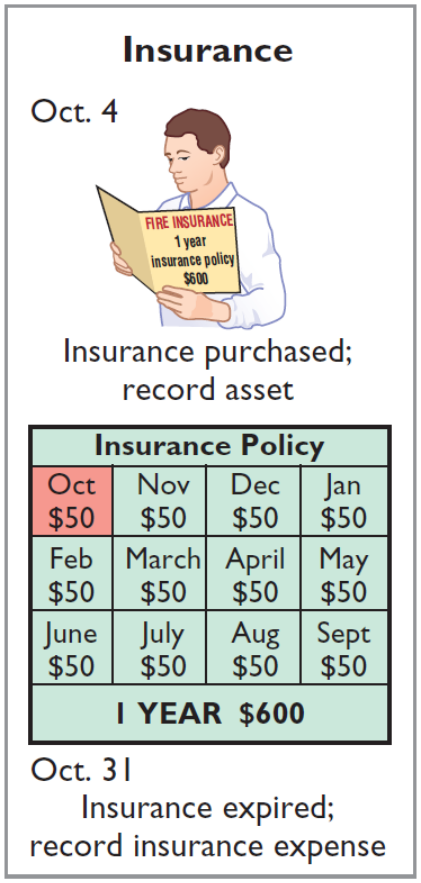
Supplies				126
Oct. 5	2,500	Oct. 31	Adj. 1,500	
Oct. 31	Bal. 1,000			

Supplies Expense				631
Oct. 31	Adj. 1,500			
Oct. 31	Bal. 1,500			

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Insurance

Illustration: On October 4, Pioneer Advertising paid $600 for a one-year fire insurance policy. Coverage began on October 1. Pioneer recorded the payment by increasing (debiting) Prepaid Insurance. This account shows a balance of $600 in the October 31 trial balance. Insurance of $50 ($600 ÷ 12) expires each month.



Oct. 31	Insurance Expense	50	
	Prepaid Insurance		50

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Insurance

ILLUSTRATION 3.6
Adjustment for insurance

Basic Analysis

The expense Insurance Expense is increased $50, and the asset Prepaid Insurance is decreased $50.

Equation Analysis

(2)

Assets	=	Liabilities	+	Owner's Equity
Prepaid Insurance				Insurance Expense
−$50	=			−$50

Debit–Credit Analysis

Debits increase expenses: debit Insurance Expense $50.
Credits decrease assets: credit Prepaid Insurance $50.

Journal Entry

Oct. 31	Insurance Expense	50	
	Prepaid Insurance		50
	(To record insurance expired)		

Posting

Prepaid Insurance			130
Oct. 4	600	Oct. 31	Adj. 50
Oct. 31	Bal. 550		

Insurance Expense			722
Oct. 31	Adj. 50		
Oct. 31	Bal. 50		

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Depreciation

- **Buildings**, **equipment**, and **motor vehicles** (assets that provide service for many years) are **recorded as assets**, rather than an expense, on the date acquired
- **Depreciation** is the process of **allocating the cost of an asset to expense** over its **useful life**
- Depreciation **does not attempt** to report the actual change in the **value of the asset**
  - **Allocation concept**, not a valuation concept

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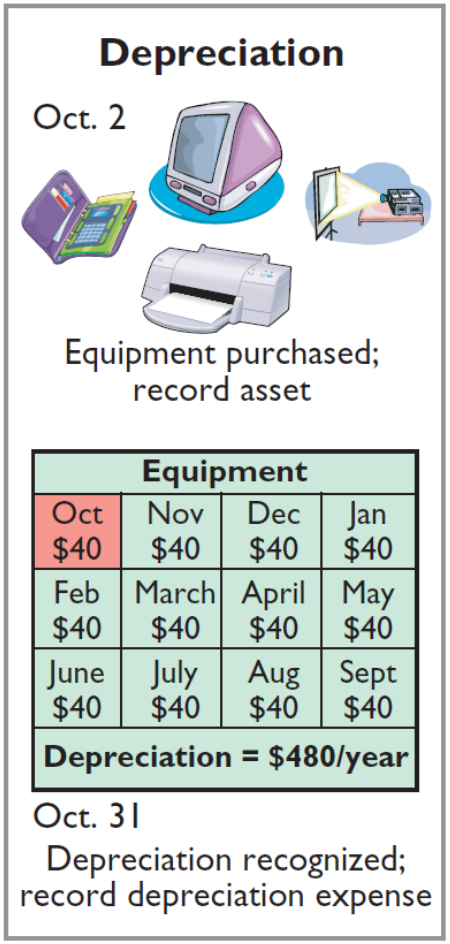
Depreciation

Illustration: For Pioneer Advertising, assume that depreciation on the equipment is $480 a year, or $40 per month.

Oct. 31

Depreciation Expense	40	
Accumulated Depreciation		40

Accumulated Depreciation is called a **contra asset account**.



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ILLUSTRATION 3.7
Adjustment for depreciation

Basic Analysis

The expense Depreciation Expense is increased $40, and the contra asset Accumulated Depreciation—Equipment is increased $40.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
Accumulated Depreciation—Equipment				Depreciation Expense
−$40	=			−$40

Debit–Credit Analysis

Debits increase expenses: debit Depreciation Expense $40.
Credits increase contra assets: credit Accumulated Depreciation—Equipment $40.

Journal Entry

Oct. 31	Depreciation Expense	40	
	Accumulated Depreciation—Equipment		40
	(To record monthly depreciation)		

Posting

Equipment			157
Oct. 2	5,000		
Oct. 31	Bal. 5,000		

Accumulated Depreciation—Equipment			158
	Oct. 31	Adj. 40	
	Oct. 31	Bal. 40	

Depreciation Expense			711
Oct. 31	Adj. 40		
Oct. 31	Bal. 40		

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Depreciation

Statement Presentation

- Accumulated Depreciation is a **contra asset account** (credit)
- **Offsets related asset account** on the balance sheet
- **Book value** is the difference between the cost of any depreciable asset and its accumulated depreciation

Equipment	$5,000
Less: Accumulated depreciation—equipment	40
	$4,960

ILLUSTRATION 3.8
Balance sheet presentation of accumulated depreciation

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Prepaid Expenses

Accounting for Prepaid Expenses			
Examples	**Reason for Adjustment**	**Accounts Before Adjustment**	**Adjusting Entry**
Insurance, supplies, advertising, rent, depreciation	Prepaid expense originally recorded in asset accounts have been used.	Assets overstated. Expenses understated.	Dr. Expenses Cr. Assets or Contra Assets

ILLUSTRATION 3.9
Accounting for prepaid expenses

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Unearned Revenues

Receipt of cash that is recorded as a liability because the service has not been performed.

Cash Receipt **BEFORE** **Revenue Recorded**

Unearned revenues often occur in regard to:

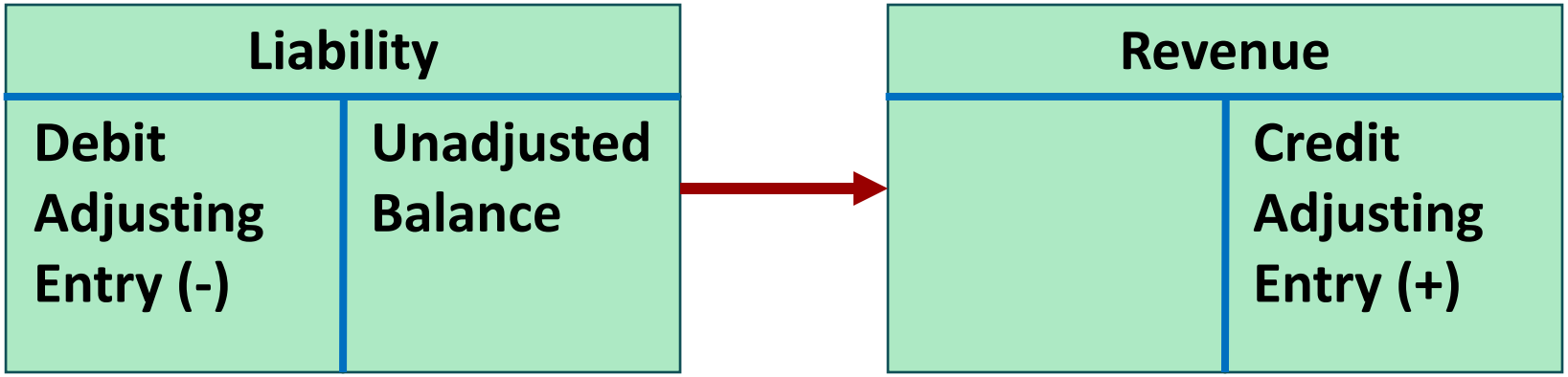
- Rent
- Airline tickets
- Magazine subscriptions
- Customer deposits

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Unearned Revenues

- Adjusting entry is made to **record the revenue** for services performed during the period and to show the liability that remains at the end of the period
- Results in a **decrease** (debit) to a **liability account** and an **increase** (credit) to a **revenue account**

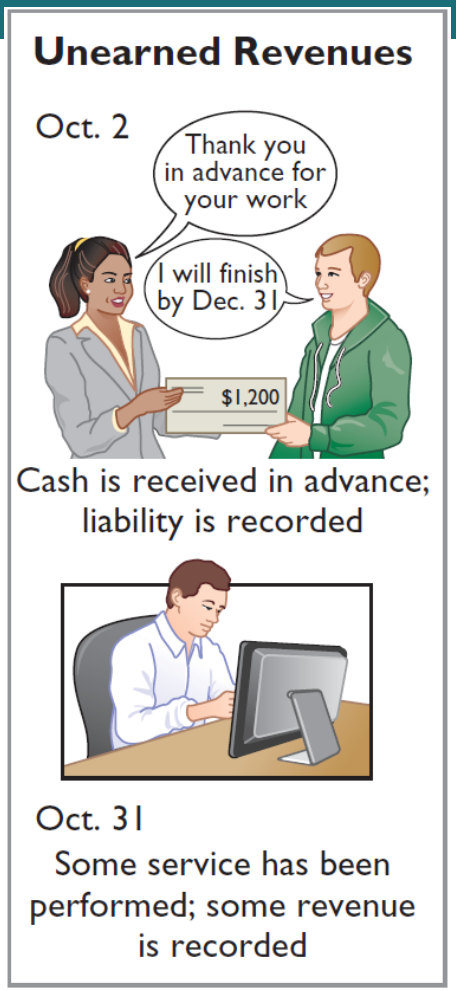
ILLUSTRATION 3.10



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Unearned Revenues

Illustration: Pioneer Advertising received $1,200 on October 2 from R. Knox for advertising services expected to be completed by December 31. Unearned Service Revenue shows a balance of $1,200 in the October 31 trial balance. Analysis reveals that the company performed $400 of services in October.



Oct. 31	Unearned Service Revenue	400	
	Service Revenue		400

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Unearned Revenue

ILLUSTRATION 3.11
Service revenue accounts after adjustment

Basic Analysis

The liability Unearned Service Revenue is decreased $400, and the revenue Service Revenue is increased $400.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
		Unearned Service Revenue		Service Revenue
		−$400		+$400

Debit–Credit Analysis

Debits decrease liabilities: debit Unearned Service Revenue $400.
Credits increase revenues: credit Service Revenue $400.

Journal Entry

Oct. 31	Unearned Service Revenue	400	
	Service Revenue		400
	(To record revenue for services performed)		

Posting

Unearned Service Revenue			209
Oct. 31	Adj. 400	Oct. 2	1,200
		Oct. 31	Bal. 800

Service Revenue			400
		Oct. 3	10,000
		31 Adj.	400
		Oct. 31	Bal. 10,400

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Unearned Revenue

ILLUSTRATION 3.12
Accounting for unearned revenues

Accounting for Unearned Revenue			
Examples	**Reason for Adjustment**	**Accounts Before Adjustment**	**Adjusting Entry**
Rent, magazine subscriptions, customer deposits for future service	Unearned revenues recorded in liability accounts are now recognized as revenue for services performed.	Liabilities overstated. Revenues understated.	Dr. Liabilities Cr. Revenues

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DO IT! 2 | Adjusting Entries for Deferrals

The ledger of Hammond Company, on March 31, 2020, includes these selected accounts before adjusting entries are prepared.

	Debit	Credit
Prepaid Insurance	$ 3,600	
Supplies	2,800	
Equipment	25,000	
Accumulated Depreciation—Equipment		$5,000
Unearned Service Revenue		9,200

An analysis of the accounts shows the following.

1. Insurance expires at the rate of $100 per month.
2. Supplies on hand total $800.
3. The equipment depreciates $200 a month.
4. During March, services were performed for $4,000 of the unearned service revenue reported.

Prepare the adjusting entries for the month of March.

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DO IT! 2 | Adjusting Entries for Deferrals

The ledger of Hammond Company, on March 31, 2020, includes these selected accounts before adjusting entries are prepared.

	Debit	Credit
Prepaid Insurance	$ 3,600	
Supplies	2,800	
Equipment	25,000	
Accumulated Depreciation—Equipment		$5,000
Unearned Service Revenue		9,200

Prepare the adjusting entries for the month of March.

1. Insurance expires at the rate of $100 per month.

Insurance Expense	100	
Prepaid Insurance		100

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DO IT! 2 | Adjusting Entries for Deferrals

The ledger of Hammond Company, on March 31, 2020, includes these selected accounts before adjusting entries are prepared.

	Debit	Credit
Prepaid Insurance	$ 3,600	
Supplies	2,800	
Equipment	25,000	
Accumulated Depreciation—Equipment		$5,000
Unearned Service Revenue		9,200

Prepare the adjusting entries for the month of March.

2. Supplies on hand total $800.

Supplies Expense	2,000	
Supplies		2,000

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DO IT! 2 | Adjusting Entries for Deferrals

The ledger of Hammond Company, on March 31, 2020, includes these selected accounts before adjusting entries are prepared.

	Debit	Credit
Prepaid Insurance	$ 3,600	
Supplies	2,800	
Equipment	25,000	
Accumulated Depreciation—Equipment		$5,000
Unearned Service Revenue		9,200

Prepare the adjusting entries for the month of March.

3. The equipment depreciates $200 a month.

Depreciation Expense	200	
Accumulated Depreciation—Equipment		200

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DO IT! 2 | Adjusting Entries for Deferrals

The ledger of Hammond Company, on March 31, 2020, includes these selected accounts before adjusting entries are prepared.

	Debit	Credit
Prepaid Insurance	$ 3,600	
Supplies	2,800	
Equipment	25,000	
Accumulated Depreciation—Equipment		$5,000
Unearned Service Revenue		9,200

Prepare the adjusting entries for the month of March.

4. During March, services were performed for $4,000 of the unearned service revenue reported.

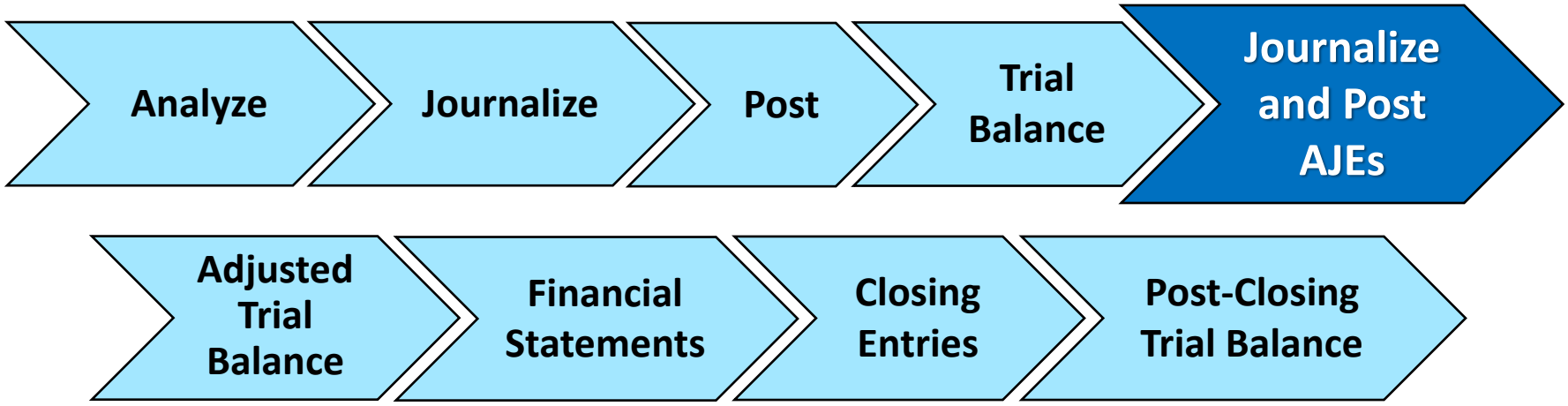
Unearned Service Revenue	4,000	
Service Revenue		4,000

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Adjusting Entries for Accruals

Accruals are made to record,

- **Revenues** for services performed but not yet recorded at the statement date
- **Expenses** incurred but not yet paid or recorded at the statement date



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Accrued Revenues

Revenues for services performed but not yet received in cash or recorded.

Revenue Recorded **BEFORE** **Cash Receipt**

Accrued revenues often occur in regard to:

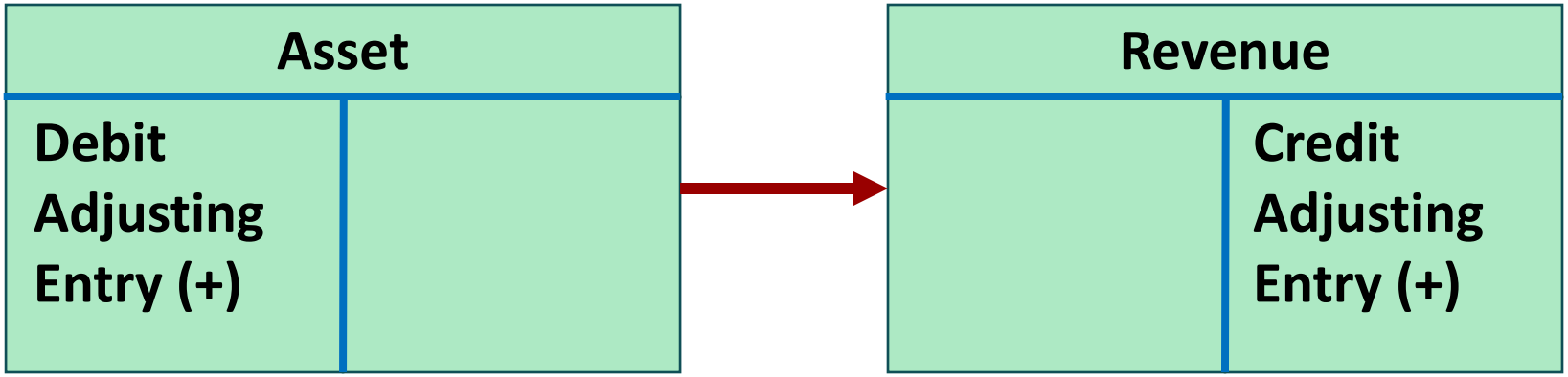
- Rent
- Interest
- Services

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Accrued Revenues

- Adjusting entry records the receivable that exists and records the revenues for services performed.
- Adjusting entry:
  - **Increases** (debits) an **asset account** and
  - **Increases** (credits) a **revenue account**

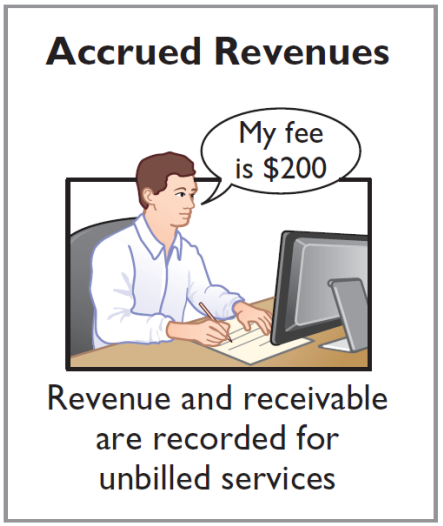
ILLUSTRATION 3.13



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Accrued Revenues

Illustration: In October Pioneer Advertising performed services worth $200 that were not billed to clients on or before October 31.



Oct. 31

Accounts Receivable	200	
Service Revenue		200

On November 10, Pioneer receives cash of $200 for the services performed. The journal entry on the 10th is:

Cash	200	
Accounts Receivable		200

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Accrued Revenues

ILLUSTRATION 3.14
Adjustments for accrued revenue

Basic Analysis

The asset Accounts Receivable is increased $200, and the revenue Service Revenue is increased $200.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
Accounts Receivable +$200				Service Revenue +$200

Debit–Credit Analysis

Debits increase assets: debit Accounts Receivable $200.
Credits increase revenues: credit Service Revenue $200.

Journal Entry

Oct. 31	Accounts Receivable	200	
	Service Revenue		200
	(To record revenue for services performed)		

Posting

Accounts Receivable			112
Oct. 31	Adj. 200		
Oct. 31	Bal. 200		

Service Revenue			400
	Oct. 3		10,000
	31		400
	31	Adj.	200
	Oct. 31	Bal.	10,600

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Accrued Revenues

ILLUSTRATION 3.15
Accounting for accrued revenues

Accounting for Accrued Revenues			
Examples	**Reason for Adjustment**	**Accounts Before Adjustment**	**Adjusting Entry**
Interest, rent, services	Services performed but not yet received In cash or recorded.	Assets understated. Revenues understated.	Dr. Assets Cr. Revenues

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Accrued Expenses

Expenses incurred but not yet paid in cash or recorded.

Expense Recorded **BEFORE** **Cash Payment**

Accrued expenses often occur in regard to:

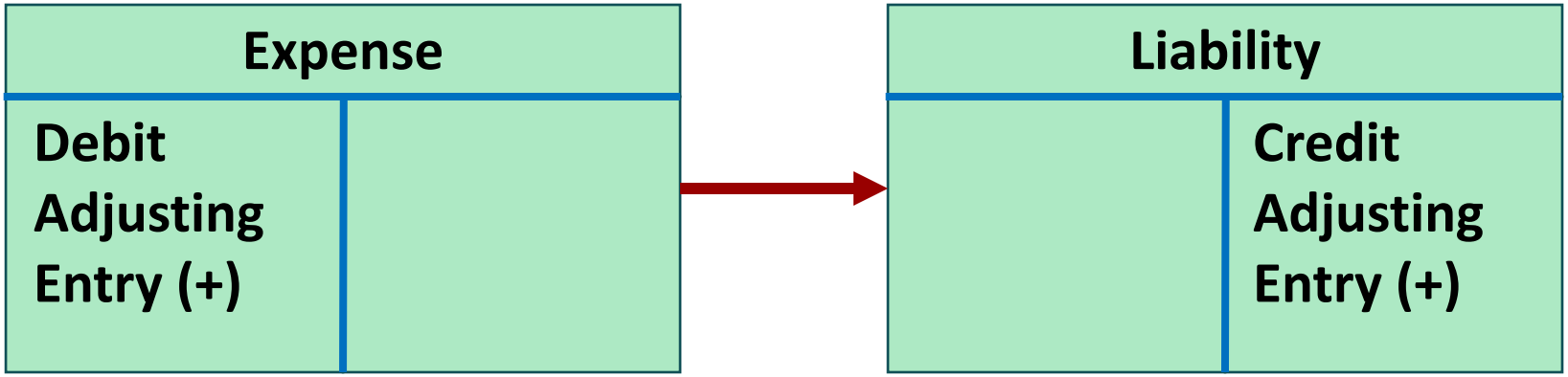
- Rent
- Interest
- Taxes
- Salaries

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Accrued Expenses

- Adjusting entry records the obligation and recognizes the expense.
- Adjusting entry:
  - **Increase** (debit) an **expense account** and
  - **Increase** (credit) a **liability account**

ILLUSTRATION 3.16



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Accrued Expenses

Accrued Interest

Illustration: Pioneer Advertising signed a three-month note payable in the amount of $5,000 on October 1. The note requires Pioneer to pay interest at an annual rate of 12%.

Face Value of Note	x	Annual Interest Rate	x	Time in Terms of One Year	=	Interest
$5,000	x	12%	x	1/12	=	$50

ILLUSTRATION 3.17

Oct. 31	Interest Expense	50	
	Interest Payable		50

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Accrued Expenses

ILLUSTRATION 3.18
Adjustment for accrued interest

Basic Analysis

The expense Interest Expense is increased $50, and the liability Interest Payable is increased $50.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
		Interest Payable		Interest Expense
		+$50		−$50

Debit–Credit Analysis

Debits increase expenses: debit Interest Expense $50.
Credits increase liabilities: credit Interest Payable $50.

Journal Entry

Oct. 31	Interest Expense	50	
	Interest Payable		50
	(To record interest on notes payable)		

Posting

Interest Expense			905
Oct. 31	Adj. 50		
Oct. 31	Bal. 50		

Interest Payable			230
		Oct. 31	Adj. 50
		Oct. 31	Bal. 50

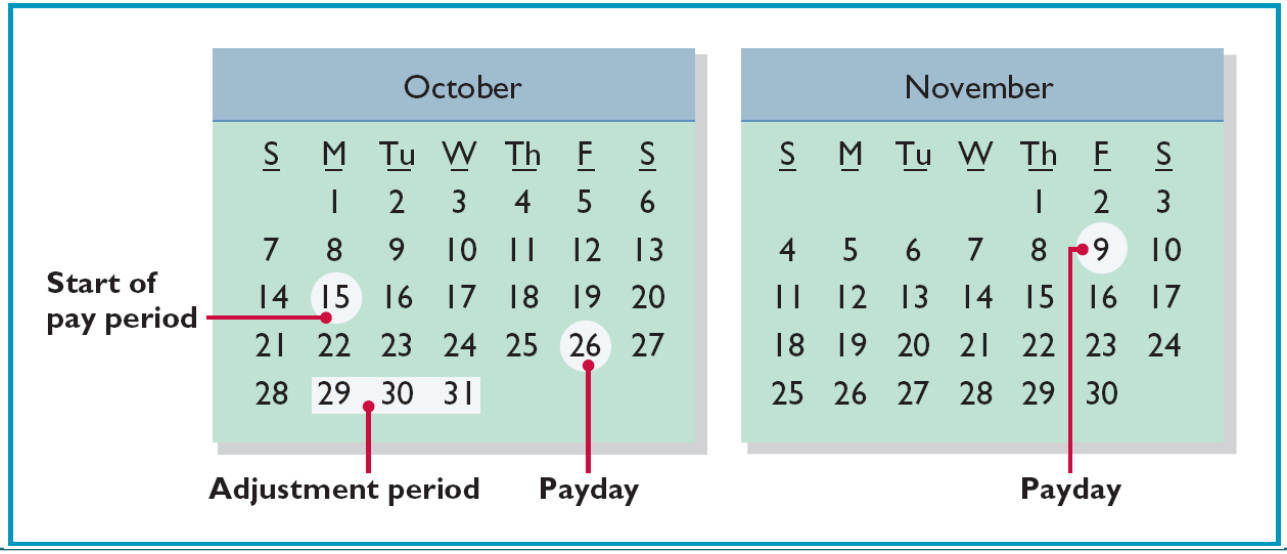
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Accrued Expenses

Accrued Salaries and Wages

Illustration: Pioneer Advertising paid salaries and wages on October 26; the next payment of salaries will not occur until November 9. The employees receive total salaries of $2,000 for a five-day work week, or $400 per day.

ILLUSTRATION 3.19



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Accrued Expenses

ILLUSTRATION 3.20
Adjustment for accrued salaries and wages

Basic Analysis

The expense Salaries and Wages Expense is increased $1,200, and the liability account Salaries and Wages Payable is increased $1,200.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
		Salaries and Wages Payable		Salaries and Wages Expense
		+$1,200		−$1,200

Debit–Credit Analysis

Debits increase expenses: debit Salaries and Wages Expense $1,200.
Credits increase liabilities: credit Salaries and Wages Payable $1,200.

Journal Entry

Oct. 31	Salaries and Wages Expense	1,200	
	Salaries and Wages Payable		1,200
	(To record accrued salaries and wages)		

Posting

Salaries and Wages Expense 726

Oct. 26		4,000			
31	Adj.	1,200			
Oct. 31	Bal.	5,200			

Salaries and Wages Payable 212

			Oct. 31	Adj.	1,200
			Oct. 31	Bal.	1,200

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Accrued Expenses

ILLUSTRATION 3.21
Accounting for accrued expenses

Accounting for Accrued Revenues			
Examples	**Reason for Adjustment**	**Accounts Before Adjustment**	**Adjusting Entry**
Interest, rent, salaries	Expenses have been incurred but not yet paid in cash or recorded.	Expenses understated. Liabilities understated.	Dr. Expenses Cr. Liabilities

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Summary of Basic Relationships

ILLUSTRATION 3.22
Summary of adjusting entries

Type of Adjustment	Accounts Before Adjustment	Adjusting Entry
Prepaid expenses	Assets overstated. Expenses understated.	Dr. Expense Cr. Assets or Contra Assets
Unearned revenues	Liabilities overstated. Revenues understated.	Dr. Liabilities Cr. Revenues
Accrued revenues	Assets understated. Revenues understated.	Dr. Assets Cr. Revenues
Accrued expenses	Expenses understated. Liabilities understated.	Dr. Expenses Cr. Liabilities

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DO IT! 3 | Adjusting Entries Accruals

Micro Computer Services began operations on August 1, 2020. At the end of August 2020, management prepares monthly financial statements. The following information relates to August.

1. At August 31, the company owed its employees $800 in salaries and wages that will be paid on September 1.
2. On August 1, the company borrowed $30,000 from a local bank on a 15-year mortgage. The annual interest rate is 10%.
3. Revenue for services performed but unrecorded for August totaled $1,100.

Prepare the adjusting entries needed at August 31, 2020.

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DO IT! 3 | Adjusting Entries Accruals

Prepare the adjusting entries needed at August 31, 2020.

1. At August 31, the company owed its employees $800 in salaries and wages that will be paid on September 1.

Salaries and Wages Expense	800	
Salaries and Wages Payable		800

2. On August 1, the company borrowed $30,000 from a local bank on a 15-year mortgage. The annual interest rate is 10%.

Interest Expense	250	
Interest Payable		250

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DO IT! 3 | Adjusting Entries Accruals

Prepare the adjusting entries needed at August 31, 2020.

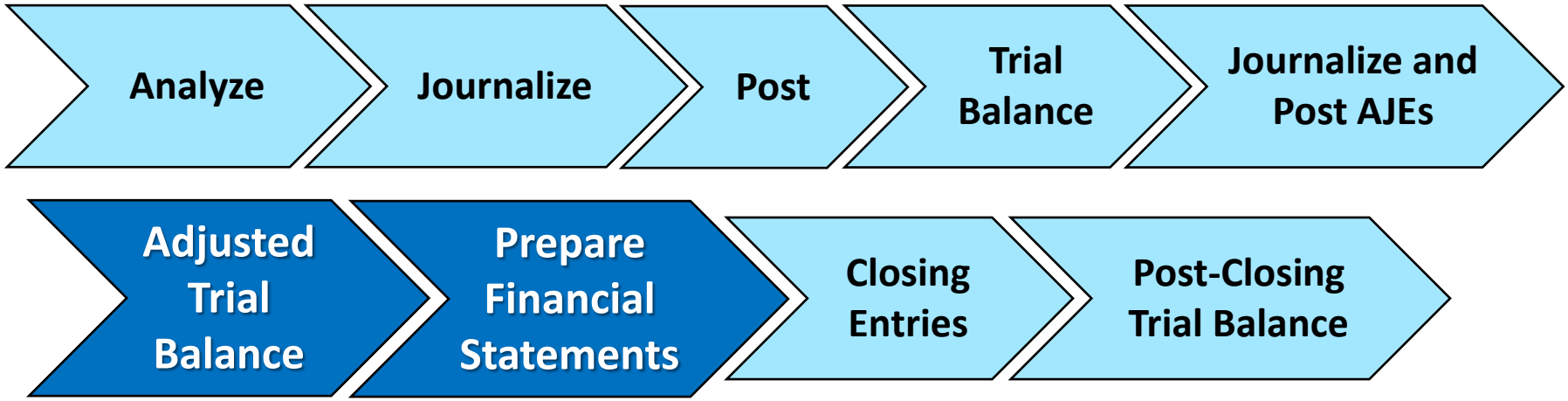
3. Revenue for services performed but unrecorded for August totaled $1,100.

Accounts Receivable	1,100	
Service Revenue		1,100

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Adjusted Trial Balance

- Prepared **after adjusting entries** are journalized and posted
- **Proves equality** of debit and credit balances
- **Basis for the preparation** of financial statements



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Pioneer Advertising
Adjusted Trial Balance
October 31, 2020

	Debit	Credit
Cash	$15,200	
Accounts Receivable	200	
Supplies	1,000	
Prepaid Insurance	550	
Equipment	5,000	
Accumulated Depreciation		$ 40
Notes Payable		5,000
Accounts Payable		2,500
Unearned Service Revenue		800
Salaries and Wages Payable		1,200
Interest Payable		50
Owner's Capital		10,000
Owner's Drawings	500	
Service Revenue		10,600
Salaries and Wages Expense	5,200	
Supplies Expense	1,500	
Rent Expense	900	
Insurance Expense	50	
Interest Expense	50	
Depreciation Expense	40	
	$30,190	$30,190

ILLUSTRATION 3.25

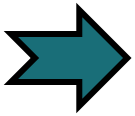
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Adjusted Trial Balance

Which of the following statements is incorrect concerning the adjusted trial balance?

a. An adjusted trial balance proves the equality of the total debit balances and the total credit balances in the ledger after all adjustments are made.

b. The adjusted trial balance provides the primary basis for the preparation of financial statements.



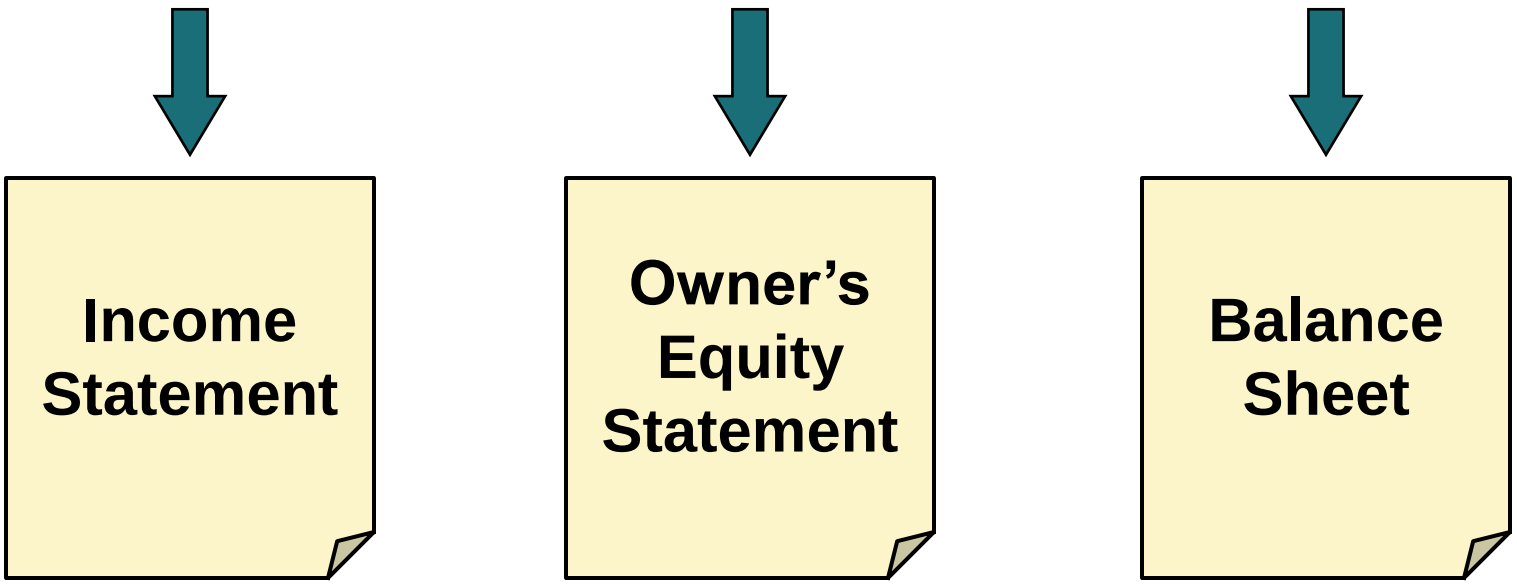
c. The adjusted trial balance lists the account balances segregated by assets and liabilities.

d. The adjusted trial balance is prepared after the adjusting entries have been journalized and posted.

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Preparing Financial Statements

Financial Statements are prepared directly from the **Adjusted Trial Balance**.



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PIONEER ADVERTISING
Adjusted Trial Balance
October 31, 2020

Account	Debit	Credit
Cash	$15,200	
Accounts Receivable	200	
Supplies	1,000	
Prepaid Insurance	550	
Equipment	5,000	
Accumulated Depreciation—Equipment		$ 40
Notes Payable		5,000
Accounts Payable		2,500
Unearned Service Revenue		800
Salaries and Wages Payable		1,200
Interest Payable		50
Owner's Capital		10,000
Owner's Drawings	500	
Service Revenue		10,600
Salaries and Wages Expense	5,200	
Supplies Expense	1,500	
Rent Expense	900	
Insurance Expense	50	
Interest Expense	50	
Depreciation Expense	40	
	$30,190	$30,190

PIONEER ADVERTISING
Income Statement
For the Month Ended October 31, 2020

Revenues		
Service revenue		$10,600
Expenses		
Salaries and wages expense	$5,200	
Supplies expense	1,500	
Rent expense	900	
Insurance expense	50	
Interest expense	50	
Depreciation expense	40	
Total expenses		7,740
Net income		$ 2,860

PIONEER ADVERTISING
Owner's Equity Statement
For the Month Ended October 31, 2020

Owner's capital, October 1	$ –0–
Add: Investments	10,000
	10,000
Net income	2,860
	12,860
Owner's drawings	500
Owner's capital, October 31	$12,360

To balance sheet

ILLUSTRATION 3.26
Preparation of the income statement and owner's equity statement from the adjusted trial balance

PIONEER ADVERTISING
Adjusted Trial Balance
October 31, 2020

Account	Debit	Credit
Cash	$15,200	
Accounts Receivable	200	
Supplies	1,000	
Prepaid Insurance	550	
Equipment	5,000	
Accumulated Depreciation—Equipment		$ 40
Notes Payable		5,000
Accounts Payable		2,500
Unearned Service Revenue		800
Salaries and Wages Payable		1,200
Interest Payable		50
Owner's Capital		10,000
Owner's Drawings	500	
Service Revenue		10,600
Salaries and Wages Expense	5,200	
Supplies Expense	1,500	
Rent Expense	900	
Insurance Expense	50	
Interest Expense	50	
Depreciation Expense	40	
	$30,190	$30,190

PIONEER ADVERTISING
Balance Sheet
October 31, 2020

Assets

Cash		$15,200
Accounts receivable		200
Supplies		1,000
Prepaid insurance		550
Equipment	$5,000	
Less: Accumulated depreciation—equip.	40	4,960
Total assets		$21,910

Liabilities and Owner's Equity

Liabilities	
Notes payable	$ 5,000
Accounts payable	2,500
Unearned service revenue	800
Salaries and wages payable	1,200
Interest payable	50
Total liabilities	9,550
Owner's equity	
Owner's capital	12,360
Total liabilities and owner's equity	$21,910

Capital balance at Oct. 31 from owner's equity statement in Illustration 3-26

ILLUSTRATION 3.27
Preparation of the balance sheet from the adjusted trial balance

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DO IT! 4 | Trial Balance

Skolnick Co. was organized on April 1, 2020. The company prepares quarterly financial statements. The adjusted trial balance at June 30 are shown below.

	Debit		Credit
Cash	$ 6,700	Accumulated Depreciation	$ 850
Accounts Receivable	600	Notes Payable	5,000
Prepaid Rent	900	Accounts Payable	1,510
Supplies	1,000	Salaries and Wages Payable	400
Equipment	15,000	Interest Payable	50
Owner's Drawings	600	Unearned Rent Revenue	500
Salaries and Wages Expense	9,400	Owner's Capital	14,000
Rent Expense	1,500	Service Revenue	14,200
Depreciation Expense	850	Rent Revenue	800
Supplies Expense	200		
Utilities Expense	510		
Interest Expense	50		
	$37,310		$37,310

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DO IT! 4 | Trial Balance

a. Determine the net income for the quarter April 1 to June 30.

Revenues		
Service revenue	$14,200	
Rent revenue	800	
Total revenues		$15,000
Expenses		
Salaries and wages expense	9,400	
Rent expense	1,500	
Depreciation expense	850	
Utilities expense	510	
Supplies expense	200	
Interest expense	50	
Total expenses		12,510
Net income		$ 2,490

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DO IT! 4 Trial Balance

b. Determine the total assets and total liabilities at June 30, 2020.

Assets	Liabilities

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DO IT! 4 Trial Balance

c. Determine the amount of owner's capital at June 30, 2020.

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Appendix 3A Alternative Treatment of Deferrals

- When a company prepays an expense, it debits that amount to an **expense account**
- When it receives payment for future services, it credits the amount to a **revenue account**

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Prepaid Expenses

Company may choose to **debit (increase) an expense account** rather than an asset account. This alternative treatment is simply more convenient.

ILLUSTRATION 3A.2
Adjustment approaches— a comparison

Prepayment Initially Debited to Asset Account (per chapter)	Oct. 5	Supplies	2,500	
		Accounts payable		2,500
	Oct. 31	Supplies Expense	1,500	
		Supplies		1,500
Prepayment Initially Debited to Expense Account (per appendix)	Oct. 5	Supplies Expense	2,500	
		Accounts payable		2,500
	Oct. 31	Supplies	1,000	
		Supplies Expense		1,000

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Unearned Revenues

Company may **credit (increase) a revenue account** when they receive cash for future services.

ILLUSTRATION 3A.5
Adjustment approaches— a comparison

Unearned Revenue Initially Credited to Liability Account (per chapter)	Oct. 2	Cash	1,200	
		Unearned Revenue		1,200
	Oct. 31	Unearned Revenue	400	
		Service Revenue		400
Unearned Revenue Initially Credited to Revenue Account (per appendix)	Oct. 2	Cash	1,200	
		Service Revenue		1,200
	Oct. 31	Service Revenue	800	
		Unearned Revenue		800

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Summary of Additional Adjustments

ILLUSTRATION 3A.7

Prepaid Expenses		
Reason for Adjustment	**Accounts Balances Before Adjustment**	**Adjusting Entry**
(a) Prepaid expenses initially recorded in asset accounts have been used.	Assets overstated. Expenses understated.	Dr. Expenses Cr. Assets
(b) Prepaid expenses initially recorded in expense accounts have not been used.	**Assets understated. Expenses overstated.**	**Dr. Assets Cr. Expenses**

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Summary of Additional Adjustments

ILLUSTRATION 3A.7

Unearned Revenues		
Reason for Adjustment	**Accounts Balances Before Adjustment**	**Adjusting Entry**
(a) Unearned revenues initially recorded in liability accounts are now recognized as revenue.	Liabilities overstated. Revenues understated.	Dr. Liabilities Cr. Revenues
(b) Unearned revenues initially recorded in revenue accounts are still unearned.	**Liabilities understated. Revenues overstated.**	**Dr. Revenues Cr. Liabilities**

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Appendix 3B Financial Reporting Concepts

Qualities of Useful Information

Two fundamental qualities

1. **Relevance**
   - Make a difference in a business decision
   - Provides information that has **predictive value** and **confirmatory value**
   - **Materiality** is a company-specific aspect of relevance
     - An item is material when its **size** makes it likely to influence the decision of an investor or creditor

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Appendix 3B Financial Reporting Concepts

Two fundamental qualities

2. Faithful Representation

- Information accurately depicts what really happened.
- Information must be
  - **complete** (nothing important has been omitted)
  - **neutral** (is not biased toward one position or another)
  - **free from error**

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Qualities of Useful Information

Enhancing Qualities

Comparability results when different companies use the same accounting principles.

Information is **verifiable** if independent observers, using the same methods, obtain similar results.

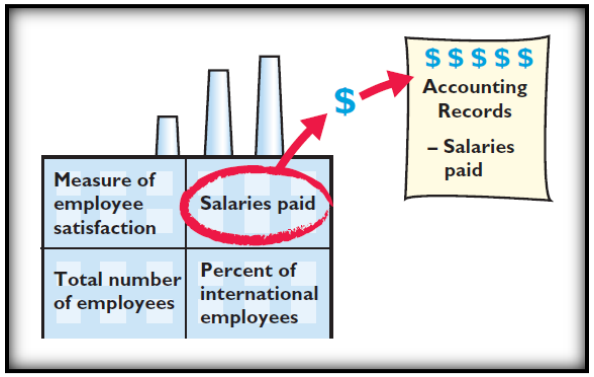
Information has the quality of **understandability** if it is presented in a clear and concise fashion.

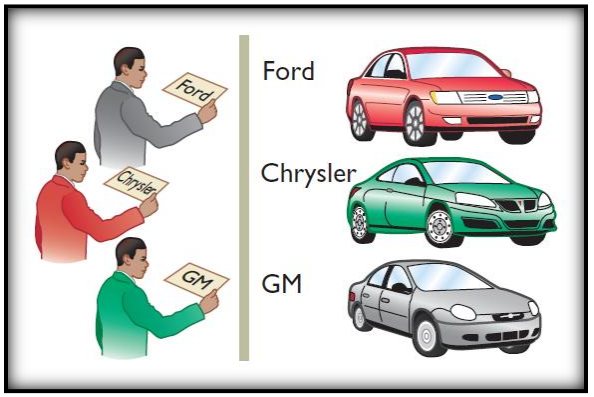
Consistency means that a company uses the same accounting principles and methods from year to year.

For accounting information to have relevance, it must be **timely**.

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Assumptions in Financial Reporting





Monetary Unit

Requires that only those things that can be expressed in money are included in the accounting records.

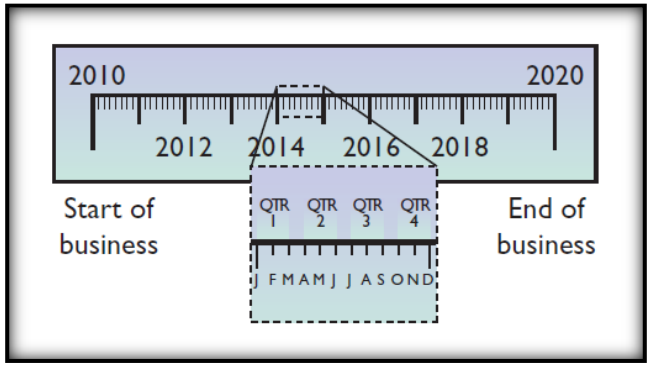
Economic Entity

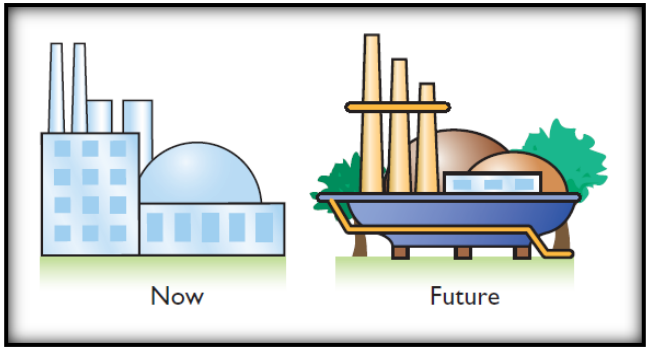
States that every economic entity can be separately identified and accounted for.

ILLUSTRATION 3B.2

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Assumptions in Financial Reporting





Time Period

States that the life of a business can be divided into artificial time periods.

Going Concern

The business will remain in operation for the foreseeable future.

ILLUSTRATION 3B.2

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Assumptions in Financial Reporting

Measurement Principles

Historical Cost	Fair Value
Or cost principle, dictates that companies record assets at their cost.	Indicates that assets and liabilities should be reported at fair value (the price received to sell an asset or settle a liability).

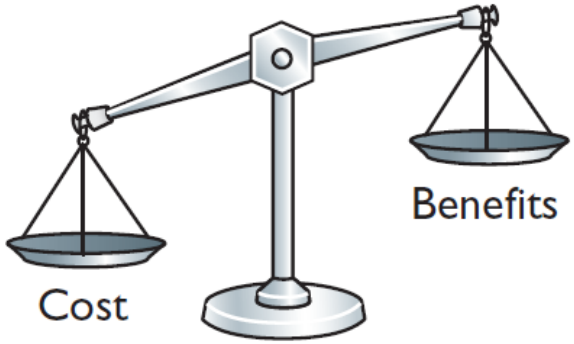
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Principles of Financial Reporting

Revenue Recognition Principle	Expense Recognition Principle	Full Disclosure Principle
Requires that companies recognize revenue in the accounting period in which the performance obligation is satisfied.	Dictates that efforts (expenses) be matched with results (revenues). Thus, expenses follow revenues.	Requires that companies disclose all circumstances and events that would make a difference to financial statement users.

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Cost Constraint



Cost Constraint

Accounting standard-setters weigh the cost that companies will incur to provide the information against the benefit that financial statement users will gain from having the information available.

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A Look at IFRS

Key Points

Similarities

- Companies applying IFRS also use accrual-basis accounting to ensure that they record transactions that change a company's financial statements in the period in which events occur.
- Similar to GAAP, cash-basis accounting is not in accordance with IFRS.
- IFRS also divides the economic life of companies into artificial time periods. Under both GAAP and IFRS, this is referred to as the **time period assumption**.

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A Look at IFRS

Key Points

Similarities

- The **general** revenue recognition principle required by GAAP that is used in this textbook is similar to that used under IFRS.
- Revenue recognition fraud is a major issue in U.S. financial reporting. The same situation occurs in other countries, as evidenced by revenue recognition breakdowns at Dutch software company **Baan NV**, Japanese electronics giant **NEC**, and Dutch grocer **Ahold NV**.

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A Look at IFRS

Key Points

Differences

- Under IFRS, revaluation (using fair value) of items such as land and buildings is permitted. IFRS allows depreciation based on revaluation of assets, which is not permitted under GAAP.
- The terminology used for revenues and gains, and expenses and losses, differs somewhat between IFRS and GAAP. For example, income includes both revenues, which arise during the normal course of operating activities, and gains, which arise from activities outside of the normal sales of goods and services. The term income is not used this way under GAAP. Instead, under GAAP income refers to the net difference between revenues and expenses.

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A Look at IFRS

Key Points

Differences

- Under IFRS, expenses include both those costs incurred in the normal course of operations as well as losses that are not part of normal operations. This is in contrast to GAAP, which defines each separately.

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A Look at IFRS

Looking to the Future

The IASB and FASB are completing a joint project on revenue recognition. The purpose of this project is to develop comprehensive guidance on when to recognize revenue. It is hoped that this approach will lead to more consistent accounting in this area.

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